

Oakwood Learning Studio

5-Year Financial Overview for Board Review

Prepared May 14, 2026

Built from assumptions

 **Financial Outlook: The financial outlook is stable but has areas to monitor.**

5 health dimensions are in good standing, 2 should be monitored, 1 needs prompt attention.

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This summary is generated from the school's financial model for board discussion purposes.

Board Commentary

Trustees, this update is a snapshot of where Oakwood Learning Studio stands financially as of today, drawn directly from the canonical model that the dashboard and lender packet share. We are planning for 20 students in Year 1, growing to 40 by Year 5 within a building capacity of 45 seats, holding a 88% year-over-year retention assumption. Growth funds the mission; the rest of this commentary frames how the financial picture supports it.

Operating cash carries the school for 1 months from open before another funding event is needed, with the tightest year landing at \$34,397 of cash on hand in Year 1. Operating break-even is reached in Year 1.

On the same basis a lender will use, Year 1 debt service coverage is 3.11x. The packet currently reads as: Ready to share - keep polishing the narrative. This model demonstrates strong financial fundamentals: a clear path to profit, controlled costs, a sustainable revenue mix, and adequate debt coverage. Your projections are grounded and achievable.

Three matters merit board attention this period. Let's extend your cash runway. Suggested response: Build a cash buffer through startup fundraising, a line of credit, or by reducing early expenses. Target at least 18 months of runway before opening.. Let's back the enrollment ramp with evidence. Suggested response: Back every enrollment target with documented demand - signed letters of intent, waitlist depth, community survey results, or recruitment pipeline data. Growth over 25% per year typically requires an exceptional recruitment engine or facility expansion.. Let's tie new hires to enrollment milestones. Suggested response: Align staffing additions to enrollment milestones. Hire when students are enrolled, not when you hope they will be. Use part-time or contract roles to bridge gaps..

Strong Year 5 profit No urgent board ask this period; the team will continue executing the plan.

Every figure in this commentary is sourced from the same canonical engine that powers the rest of this packet.

Financial Outlook at a Glance

 **Financial Outlook: The financial outlook is stable but has areas to monitor.**

5 health dimensions are in good standing, 2 should be monitored, 1 needs prompt attention.

 **Cash Position: Cash runway is approximately 1 months**

Assumptions Confidence

PROJECTED **Needs Support** 0% weighted evidence · 0 of 22 tagged
This does not mean your plan is weak. It means this part needs more clarity.

Each major assumption below is tagged by the founder with the source they leaned on. Higher-confidence sources (actuals, signed agreements, written quotes) are stronger evidence than research benchmarks or estimates.

0 of 22 assumptions tagged yet — the founder has not anchored any inputs to evidence. Posture defaults to "Needs Support" until at least some keys are tagged.

Financial Overview

Oakwood Learning Studio projects \$400,145 in Year 5 revenue with a 37.6% profit margin. The model tells a strong financial story with 8 of 13 key metrics in healthy range, a great foundation for your mission. The school has approximately 1 months of cash runway.

[-] Lender Readiness: Strong
 [-] Biggest Strength: Strong Year 5 profit
 [-] Biggest Risk: No major red flags detected, so continue refining assumptions as you gather real data.
 [-] Cash Runway: 1 months

School Overview

Oakwood Learning Studio is a Startup / Pre-Opening Microschool organized as a LLC (Single Member) with a Tuition-Based funding profile.

5-Year Financial Projection

The model reaches break-even in Year 1. Year 5 net income is projected at \$171K (40.8% margin).

• Breakeven enrollment

Breakeven enrollment is 15 students (33% above Year 1 enrollment).

• Accounting basis

All projections are prepared on an accrual basis; the school currently keeps books on a undetermined basis.

[-] Revenue per Student (Year 1): \$8,282
 [-] Cost per Student (Year 1): \$7,162
 [+] Staffing Cost (% of Revenue): 52.0%
 [-] Operating Cost (% of Revenue): 34.2%
 [+] Profit margin (Year 1): 13.5%
 [+] Profit margin (Year 5): 37.6%

5-Year Net Income Projection

Year	Students	Revenue	Expenses	Net Income	Margin
Year 1	20	\$199K	\$152K	\$48K	23.9%
Year 2	26	\$258K	\$224K	\$34K	13.3%
Year 3	32	\$322K	\$232K	\$89K	27.8%
Year 4	37	\$380K	\$241K	\$139K	36.6%
Year 5	40	\$421K	\$249K	\$171K	40.8%

Staffing Plan

Staffing costs are \$86K in Year 1, representing 43.3% of revenue. This leaves healthy room for other operating costs.

[+] Staffing % of Revenue: 52.0%

Supporting Assumptions

Founder / Lead Teacher **\$58,000, 1 FTE**
 Assistant Teacher **\$38,000, 1 FTE**
 Part-Time Aide **\$24,000, 0.5 FTE**

Financial Health Assessment

Across 8 health dimensions: 5 healthy, 2 on watch, 1 at risk.

- [+] viability: Healthy
- [!] liquidity: Needs attention
- [+] staffing burden: Healthy
- [~] facility burden: Watch closely
- [+] debt affordability: Healthy
- [+] revenue concentration: Healthy

Health Dimensions

Dimension	Status	Details
Viability	Healthy	The model reaches profit early and sustains strong margins through Year 5.
Liquidity	Needs attention	Cash goes negative in month 1. The school will need outside funding to continue operating.
Staffing Burden	Healthy	Staffing at 52% of revenue leaves room for facilities, programs, and reserves.
Facility Burden	Watch closely	Facility costs at 17% of revenue are moderate but could become a constraint as other costs grow.
Debt Affordability	Healthy	DSCR of 5.77x provides comfortable coverage of debt payments with room to spare.
Revenue Concentration	Healthy	Revenue is anchored to enrollment-driven income — the strongest foundation for a school model. A focused revenue stream is a strength when backed by dependable demand.
Days Cash	Watch closely	57 days of cash on hand is above the minimum but below the 90-day target. A large unexpected cost could create a cash crunch.
Reserve Strength	Healthy	18.9 months of reserves by Year 5 — a strong buffer for unexpected costs.

Key Strengths

The model demonstrates 5 notable strengths.

- [+] Staffing Cost (% of Revenue): 52.0%
- [+] Profit margin (Year 1): 13.5%
- [+] Profit margin (Year 5): 37.6%
- [+] 5-Year Revenue Growth: 141.6%
- [+] Capacity Utilization (Year 5): 88.9%
- [+] Debt Service Coverage Ratio (Year 1): 5.77x

What to Watch

The board should be aware of 3 key areas:

1. Let's extend your cash runway

An 18-month runway means a single late tuition cycle or delayed state disbursement isn't an emergency. Building the cushion now is far easier than rebuilding it after opening day.

Action: Build a cash buffer through startup fundraising, a line of credit, or by reducing early expenses. Target at least 18 months of runway before opening. Next step: Open Step 2: School Details and raise opening cash, or trim Year 1 expenses in Step 7, until projected cash runway clears 18 months.

2. Let's back the enrollment ramp with evidence

Enrollment is the engine of every revenue and staffing assumption downstream. The more evidence we can attach to each year's number, the more confident the rest of the model becomes.

Action: Back every enrollment target with documented demand — signed letters of intent, waitlist depth, community survey results, or recruitment pipeline data. Growth over 25% per year typically requires an exceptional recruitment engine or facility expansion. Next step: Open Step 4: Enrollment and either soften the steepest year to a 15-25% jump, or paste your waitlist count, signed letters of intent, and recruitment plan into the Story step so reviewers see the evidence.

3. Let's tie new hires to enrollment milestones

Hiring slightly behind enrollment, rather than ahead of it, keeps fixed costs aligned with the revenue actually arriving. It also gives you a clean answer to 'what triggers each new role'.

Action: Align staffing additions to enrollment milestones. Hire when students are enrolled, not when you hope they will be. Use part-time or contract roles to bridge gaps. Next step: Open Step 6: Staffing and tie each new role's start date to a specific enrollment milestone (e.g. 'add when Y2 enrollment hits 60'), or push the role into a later year.

Recommended Next Steps

1. Plan for Tuition Collection & Discount Risk

Private schools face collection risk from late payments, withdrawals, and financial aid shortfalls. With 88.6% of revenue from tuition, build a 5–10% bad debt reserve into your budget. Factor in tuition discount rates for merit/need-based aid and maintain clear enrollment contracts with payment terms.

This strengthens the model and reduces future risk.

2. Stress-Test Your Enrollment Assumptions

Model what happens if enrollment comes in 20% below plan. Understanding your downside scenario helps you prepare contingency plans.

This strengthens the model and reduces future risk.

3. Document Your Growth Strategy

Great projections are backed by a clear plan. Document your marketing strategy, enrollment pipeline, and community outreach, as this is the roadmap that turns your numbers into reality.

This strengthens the model and reduces future risk.

Decision History

No decisions have been tracked with an outcome yet. As the team marks saved scenarios as Pursued, Declined, or On hold, those outcomes (and any retrospective notes) will appear here so reviewers can see what actually happened versus what was modeled.

Once decisions are saved with a Pursued / Declined / On hold outcome inside the planner, they will be summarized here for the board.

Scenario Comparison

The model includes 3 scenarios showing how changes in key assumptions affect Year 5 outcomes.

Scenario	Y5 Revenue	Y5 Net Income	Y5 Margin
Conservative (20% fewer students)	\$342K	\$97K	28.3%
Base Case	\$421K	\$171K	40.8%
Aggressive (15% more students)	\$508K	\$247K	48.6%

Grant Version

Thank you for considering Oakwood Learning Studio. This narrative is drawn directly from the same canonical financial model the board and any lender would see, so the numbers that follow tie back line for line to our budget. Over the grant horizon we are planning for 20 students in Year 1, growing to 40 by Year 5 while holding a 88% year-over-year retention assumption. Each additional seat funded by this grant translates directly into students served against that mission.

Philanthropic and other donor-dependent support currently represents about 12% of our Year 1 revenue mix. Grant funding is what bridges the gap between our enrollment ramp and operating sustainability - without it the model would not reach the trajectory described above. The plan does not assume any single funder closes that gap on their own; instead, it relies on a portfolio of grants and earned revenue that grows year over year.

Operating cash carries the school for 1 months from open before the next funding milestone is needed, with the tightest year landing at \$34,397 of cash on hand in Year 1. Operating break-even is reached in Year 1, which is the point at which earned revenue alone would cover operating expenses.

Two stewardship matters we want to surface up front for our funders. Let's extend your cash runway. Our planned response is to Build a cash buffer through startup fundraising, a line of credit, or by reducing early expenses. Target at least 18 months of runway before opening.. Let's back the enrollment ramp with evidence. Our planned response is to Back every enrollment target with documented demand - signed letters of intent, waitlist depth, community survey results, or recruitment pipeline data. Growth over 25% per year typically requires an exceptional recruitment engine or facility expansion..

Strong Year 5 profit Grant funding will be applied directly to enrollment ramp expenses described in the budget. We are happy to walk through any line of the model in detail with the funder.

Every figure in this commentary is sourced from the same canonical engine that powers the rest of this packet.

Standard Lender Stress Tests

Five fixed downside scenarios re-run against the canonical model. Each row shows the worst-year DSCR, ending-cash trough, and Year-1 net-income delta vs base. Identical figures appear on the founder dashboard and in the lender pro-forma workbook.

Base case: **Min DSCR 5.86x** · **Min ending cash \$34,826** · **Runway 60.0 mo**

Enrollment -10%

All five enrollment years scaled down by 10% — the standard lender enrollment-miss sensitivity.

Min DSCR: 1.41x · Min ending cash: \$20,928 · Runway: 60.0 mo · Break-even: Year 1
Year-1 net income vs base: -\$13,898

Enrollment -20%

All five enrollment years scaled down by 20% — the stretch downside lenders use to confirm the school can survive a soft-launch.

Min DSCR: -0.06x · Min ending cash: \$5,200 · Runway: 60.0 mo · Break-even: Year 3 (+2y vs base)
Year-1 net income vs base: -\$27,795

ESA / Public Funding Delayed 3 Months

Year-1 ESA, school-choice, and public-funding receipts reduced by 25% ("H 3 months delayed) to simulate a slow first disbursement.

Min DSCR: 5.86x · Min ending cash: \$34,826 · Runway: 60.0 mo · Break-even: Year 1
Year-1 net income vs base: +\$0

Rent Shock +25%

Occupancy & facility expense rows escalated by 25% — covers a lease renewal, market-rate reset, or unbudgeted CAM/utilities surprise.

Min DSCR: 4.38x · Min ending cash: \$27,867 · Runway: 60.0 mo · Break-even: Year 1
Year-1 net income vs base: -\$6,958

Founder Comp Normalized to Market

Founder compensation re-cast at the market-rate benchmark (with benefits + payroll tax). The lender / board view of true operating cost.
Min DSCR: 3.11x · Min ending cash: \$34,826 · Runway: 60.0 mo · Break-even: Year 1
Year-1 net income vs base: -\$12,918

Founder Compensation

Per-year founder pay shown two ways: as planned (what the founder draws) and at market rate (what a comparable hire would cost). The lender adjustment is the gap underwriters apply to staffing cost and DSCR.

Line	Y1	Y2	Y3	Y4	Y5	
As planned (reported)	\$58,000	\$59,740	\$61,532	\$63,378	\$65,280	
Fully-loaded (incl. benefits + payroll tax)	\$62,437	\$64,310	\$66,239	\$68,226	\$70,274	
Market rate (normalized)	\$70,000	\$72,000	\$74,000	\$76,000	\$79,000	
Fully-loaded (incl. benefits + payroll tax)	\$75,355	\$77,508	\$79,661	\$81,814	\$85,044	
Lender adjustment (market - planned)	\$12,918	\$13,198	\$13,422	\$13,588	\$14,770	

Note: Founder is paying themselves below market rate ("sweat equity"). Lenders and boards underwrite to the market-rate line; the adjustment shows the gap.